ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - ICT VACUUM BLOCK

INTRODUCTION TO THE BULLISH VACUUM BLOCK

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This section introduces teaching 3.6, reinforcing order block theory, specifically dealing with the vacuum block.

- A bullish vacuum block is a gap created in price action as a result of a volatility event.

- The gap forms by a vacuum of liquidity directly related to an event.

- Examples include Non-Farm Payroll or a futures session open.

Gaps can form in various market contexts:

- Futures contracts, where session opens and closes create periods of no trading.

- Stocks or intraday indices like the S&P 500.

- Any forex pair experiencing a large volatility injection.

- Economic calendar releases such as Non-Farm Payroll, FOMC-related events, or interest rate announcements.

- Unforeseen geopolitical events, like a terrorist attack, not on the economic calendar.

INITIAL TRADER ASSUMPTION AND VACUUM BLOCK PURPOSE

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When the market gaps up, the first assumption for most traders is that it will continue to go higher. While this sometimes occurs, the vacuum block is examined to understand how it can be used to get in sync with the underlying marketplace.

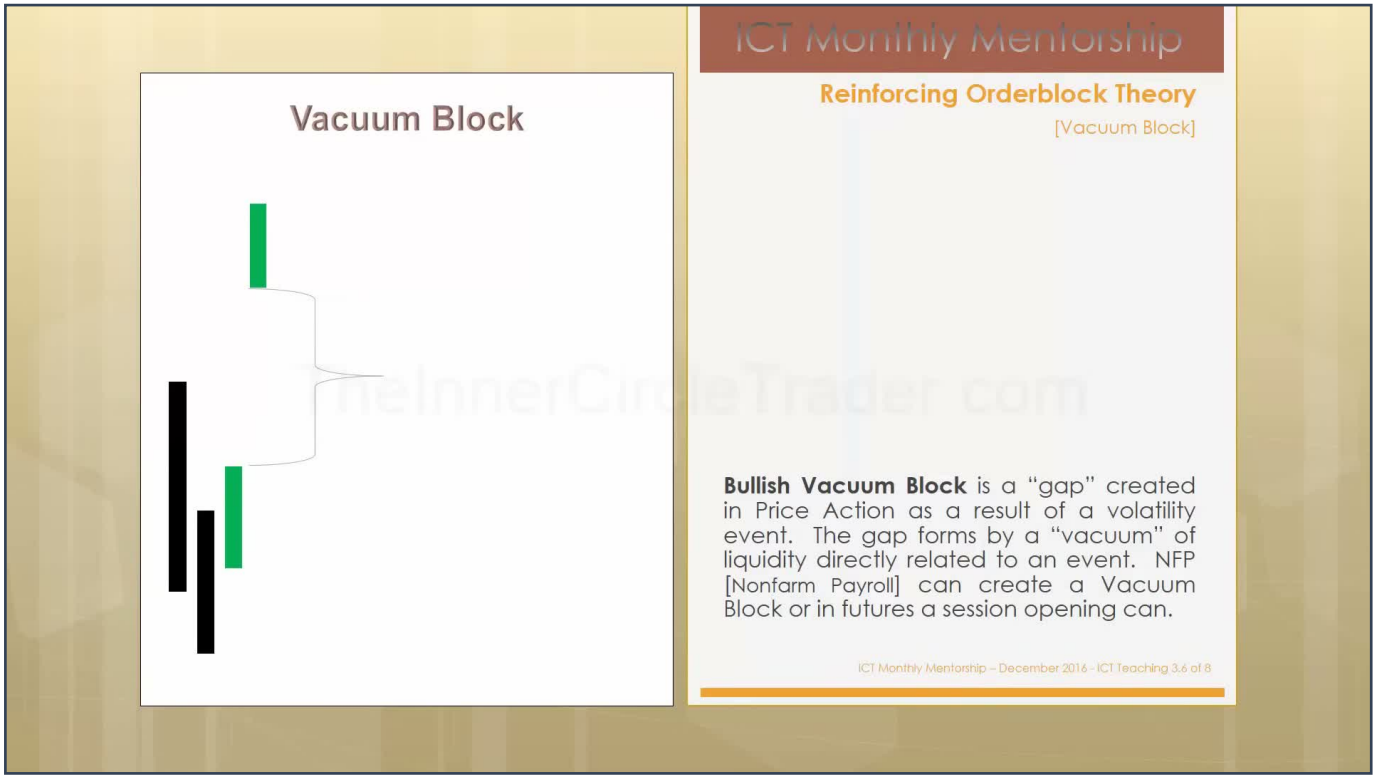
The context of the gap is crucial:

- If the market has been rallying for days or weeks in a prolonged uptrend, a gap up could be an exhaustion gap.

- An exhaustion gap is typically a graphic depiction of capitulation, representing the last bit of momentum in the underlying trend or direction.

Consider a gap up in a market that has been in a downward correction within an upward market, or a down market expecting bullish news and liquidity above the current trading price.

- If a news event releases and causes a gap up away from a market that's in a discount (after some retracement, but higher prices are still expected), the space between the two candles becomes important.



On the charts, a gap signifies a 'vacuum' of trading, meaning no trades were made between the previous candle's close and the next candle's opening.

- Gaps can be large; for example, Non-Farm Payroll can cause a 30, 50, or 60 pip gap due to rapid repricing at the central bank level.

- Because no trader can execute trades between these price points, a vacuum of liquidity is created.

HIGH PROBABILITY OF GAP CLOSURE

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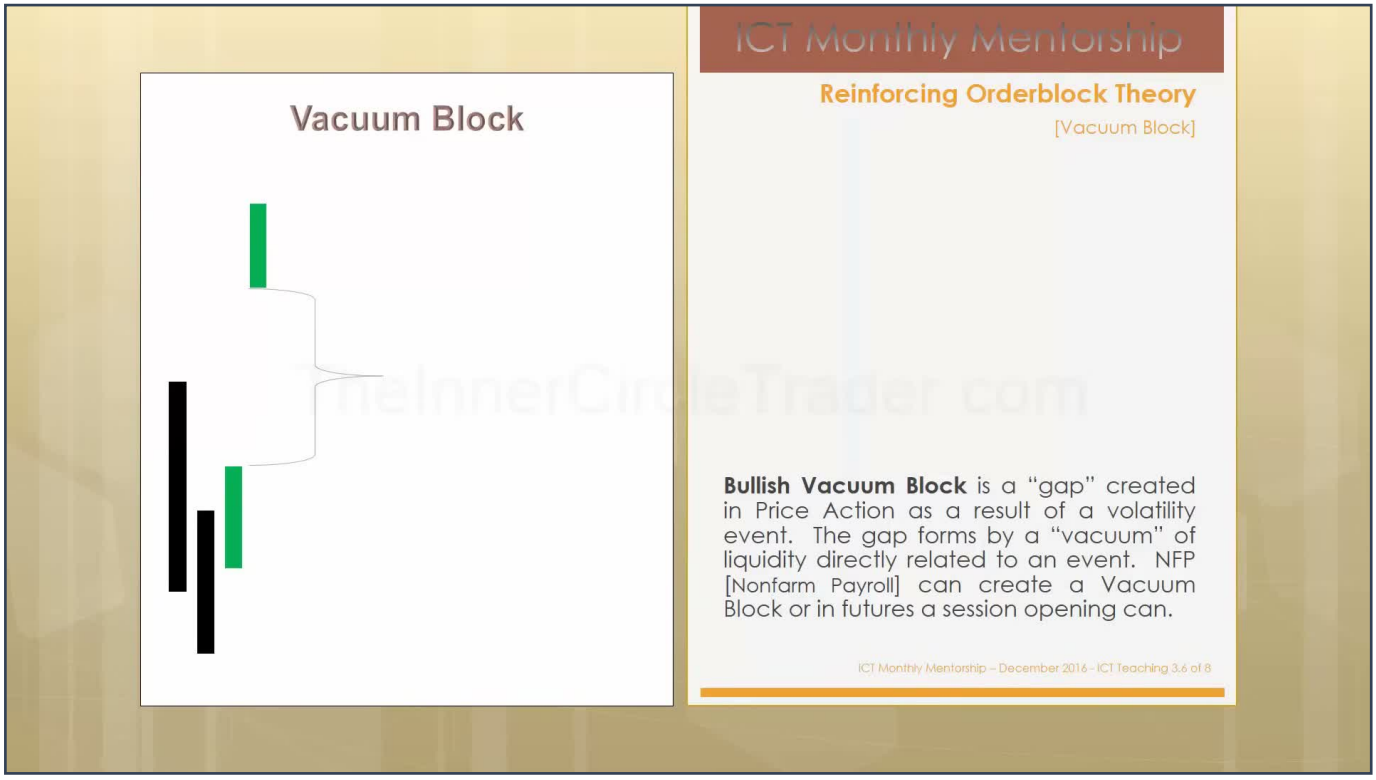
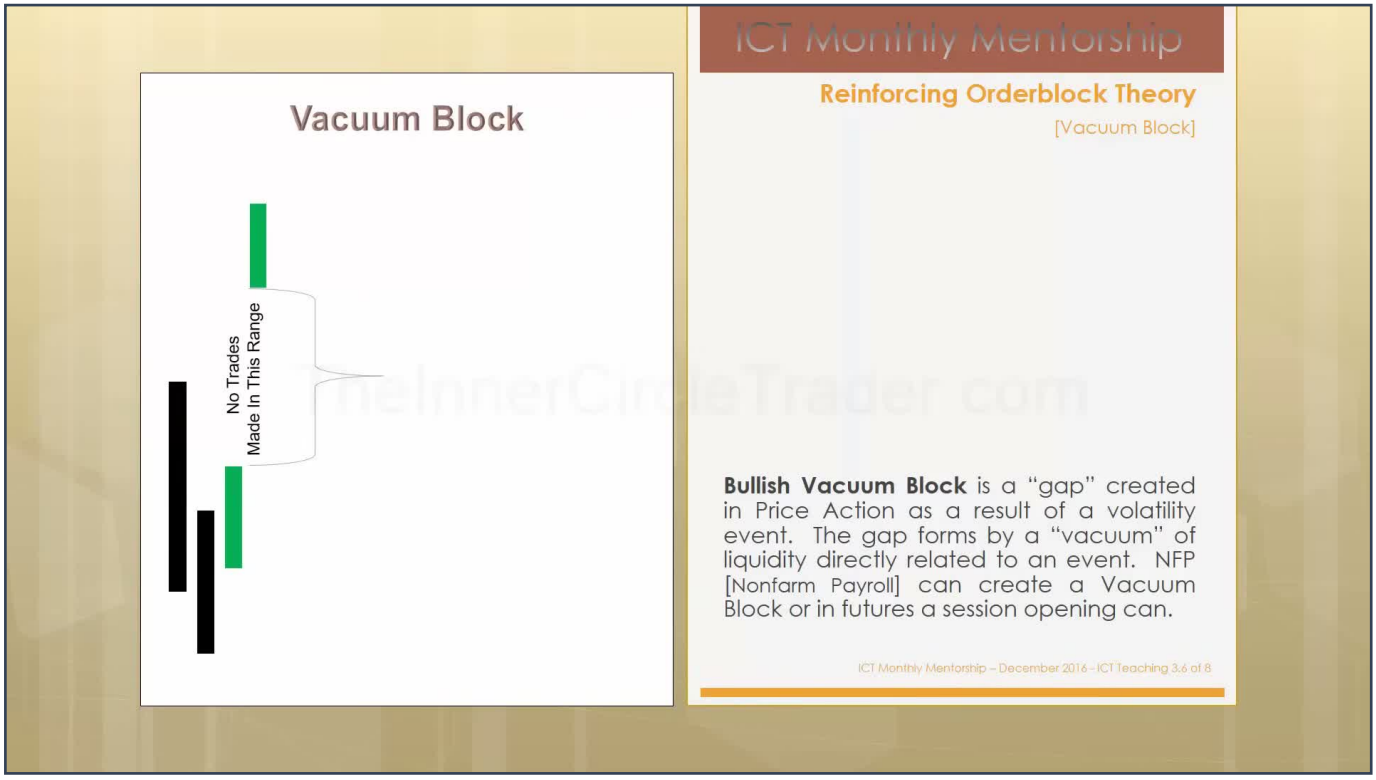


There is a high probability that the market will want to come back and try to close that gap in.

- While no specific percentage is given, it is anticipated that the gap will fill.

- It is crucial to identify the gap in a specific manner first.



Upon realizing that no trades were made in the gap range, the market has gapped up and started trading at a higher price on a new candle.

- It is important to discern whether the market will continue to run away from that price level and leave the gap open.

- Alternatively, will it trade back down and close in that range?

- If it doesn't close completely, how much can be reasonably expected to close while still looking for a potential buy setup?

DEFINING THE VACUUM BLOCK AS A PRICE RANGE

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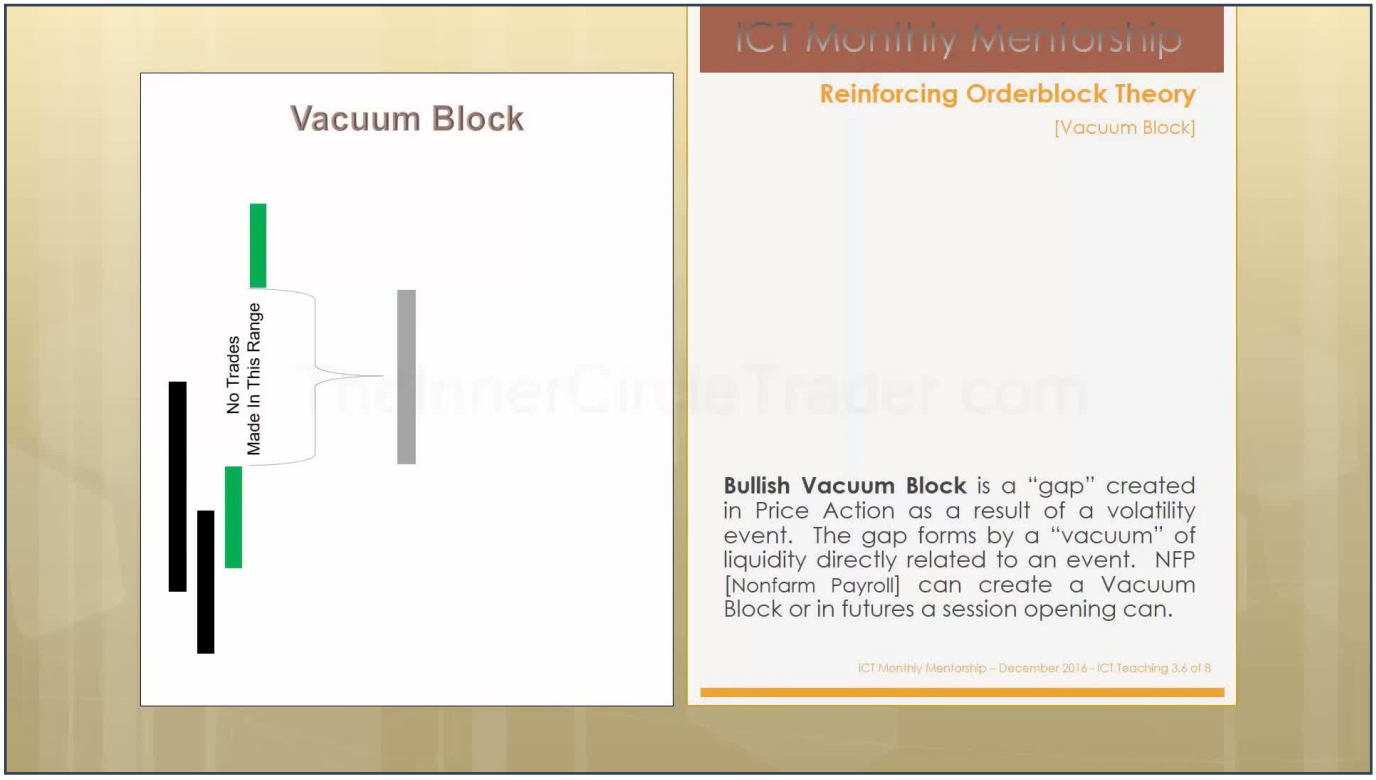

Inside that range, we have a vacuum block, which means a reference point in time has been blocked out.

- Even without a candlestick or bar, price had a parameter before and after the gap.

- It can be viewed as a range, interpreting and visualizing an absence of liquidity and traded price.

- This range is defined by the high and the low of the gap.

- It should be treated like any other candle, expecting a mean threshold, an opening, and a close.

PARTIAL GAP FILL TO A BULLISH ORDER BLOCK

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When price starts trading lower after a gap up, two scenarios are possible:

- If bullish, look for a bullish order block (a down candle) that would prevent the gap from filling entirely.

- If price trades down into a bullish order block (e.g., the higher of two consecutive down candles prior to the gap up), a potential bounce is reasonably expected, leaving a portion of the gap opening intact.

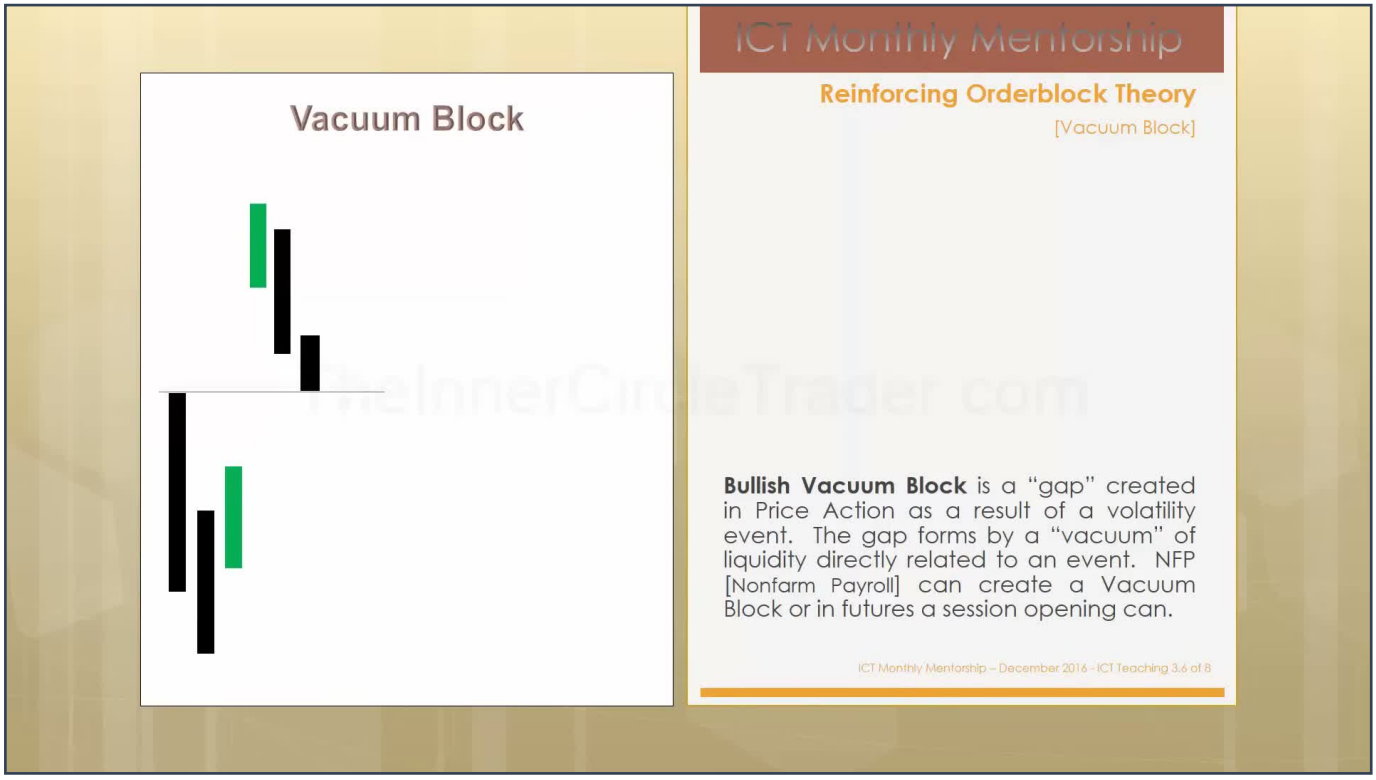
- This could be a buy opportunity, requiring immediate feedback.

- Risk management involves placing a stop below the lowest down candle.

If there is a stronger conviction that price will trade back down into the last up candle before the gap (for a full fill), time of day is a crucial factor:

- If it's early in the New York session, there is more time for the day to unfold, and the market would likely come down and close the gap.

- If the gap occurred late in the afternoon, chances are it would probably leave the gap open.



Considering time of day:

- Gaps like these usually occur in the New York session, typically around 8:30 AM (when news embargoes lift), allowing more time for the market to unfold.

- If a gap occurs later, such as the 10 or 11 o'clock hour in New York, a portion of the gap may remain open.

- This remaining open portion would be classified as a fair value gap, to be potentially closed at a later time, but not necessarily during the specific trading day.

There are two key reference points:

- The opening of the gapped-up candle.

- The close of the up candle right before the gap forms.

When price trades lower and hits this level, it indicates a complete closure of the gap, a 'full return on a vacuum block.'

- The entire range is 100 percent filled, representing 'perfect delivery of price.'

- The market is now completely balanced out.

- If higher prices are expected and there is unfulfilled bullish liquidity above the highest high formed on the gap opening, price is now free to drive higher.

- A buy setup here, using a stop loss below the lowest low, offers more defined risk for potentially higher leverage, while maintaining the same exposure parameters.

After price trades down to hit the gap closure level and rallies:

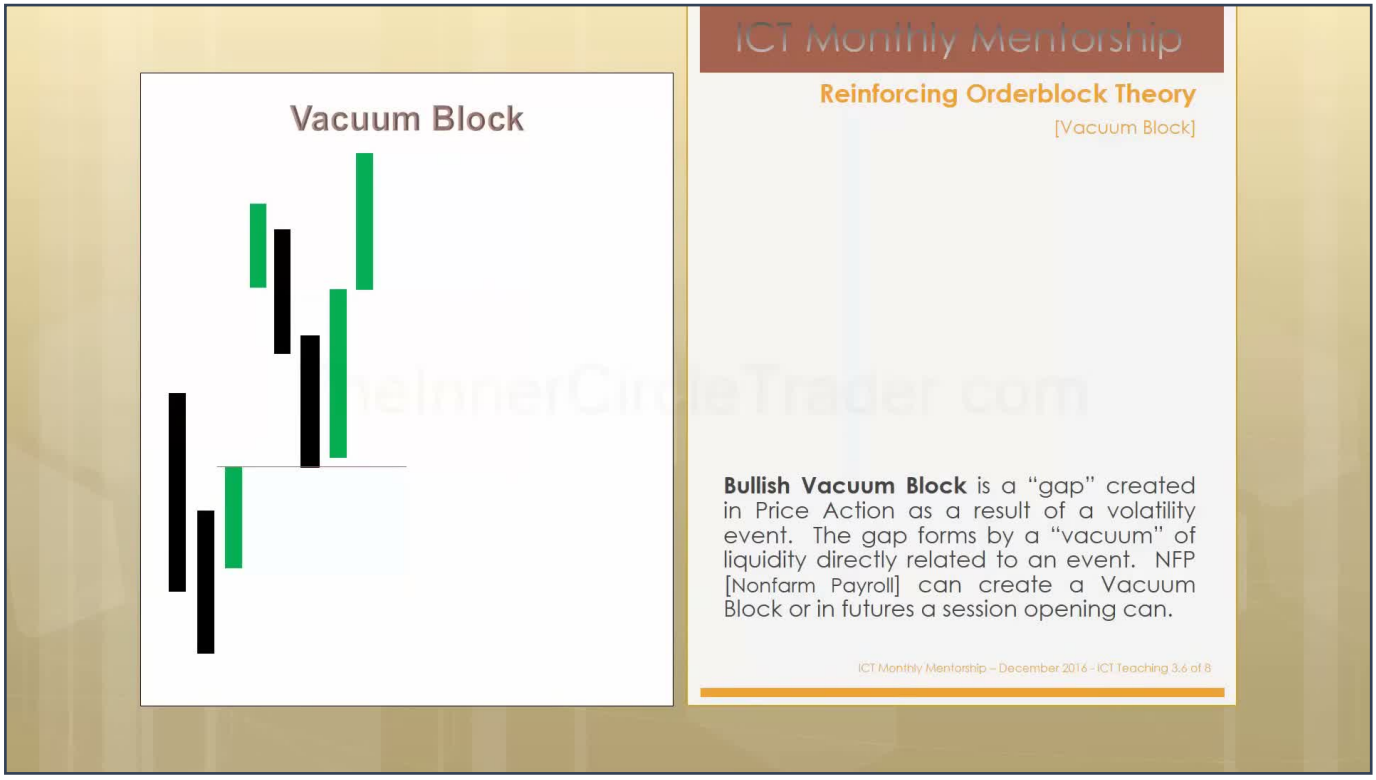
- Price should not come back down below the level that caused it to close the gap (the close of the first up candle before the gap).

- The low of the up candle that formed at the gap should be cleanly broken through without hesitation (hesitation would indicate a bearish order block).

- The expectation is for bullishness to drive right through that last up candle, as price has been delivered efficiently, and the vacuum of liquidity is completely balanced out.

- Price has delivered on the downside to close the gap and then made a bullish move up, so there is no reason for it to come back down and trade below the last point of reference before the gap.

- Once the vacuum block is completely filled and the high is taken out, price is permitted to trade bullishly higher, and continued upside is expected.



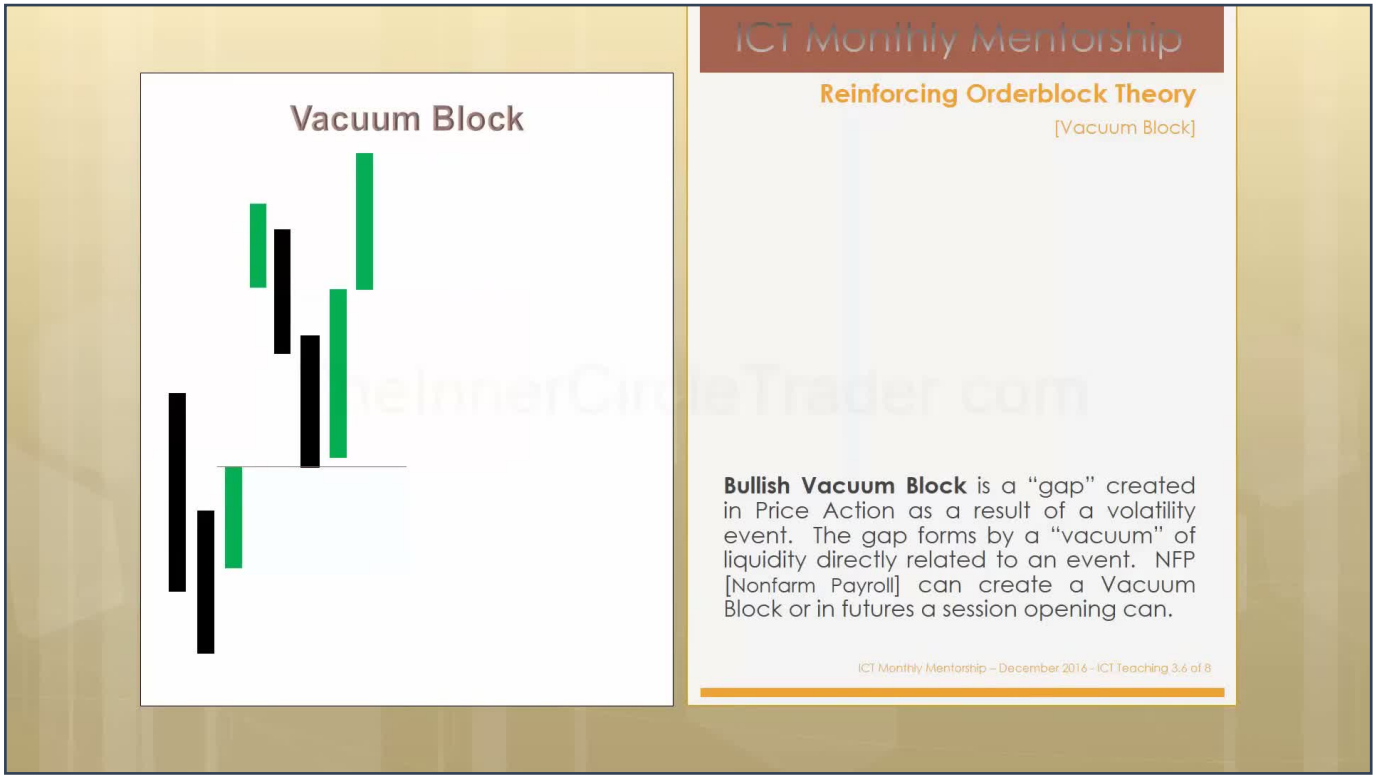
In summary, a vacuum block is akin to a breakaway gap, creating a vacuum of liquidity.

- Not all gaps fill completely.

- If bullish and a gap up occurs, price may only retrace to a bullish order block inside that gap, stop trading lower, and rally higher.

- This leaves a small remaining gap, classified as a fair value gap, which could be revisited at a future time.

- If the gap remains open in this manner, it's labeled a breakaway gap, showing willingness and strength for higher prices.



If bullish prices are expected and the gap closes, filling the vacuum of liquidity with both downside (to close) and bullish upside price delivery:

- There is no reason for price to go down below the first up candle's close after this point.

- If price does trade below this level, the trade is suspect, and it is advisable to take some profits or exit the entire trade.

- The same principles apply in reverse for a bearish vacuum block: price would gap lower, fill on up candles, and then move short.